EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Pamplona was created by ecclesiastics and was named Pamplona in 1884 by Vicar Montenegro in memory of his hometown in Spain. It is a fourth class municipality, which is situated in the northwestern coast of the Province of Cagayan, with an area of 17,176 hectares.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Pamplona for CY 2021 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSASs), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriation, allotments and obligations of the Municipality of Pamplona, Cagayan for the year ended December 31, 2021, with comparative figures for CY 2020, are as follows:

Particulars	2021	2020	Increase/ (Decrease)
Financial Position			
Assets	377,946,613.11	312,394,158.81	65,552,454.30
Liabilities	53,419,867.22	75,316,844.12	(21,896,976.90)
Government Equity	324,526,745.89	237,077,314.69	87,449,431.20
Financial Performance			
Income	130,825,652.45	123,328,106.00	7,497,546.45
Expense	99,391,866.27	93,579,603.14	5,812,263.13
Appropriations, Allotments and Obligation			
Appropriations	171,893,897.55	198,717,934.67	(26,824,037.12)
Allotments	177,953,247.55	198,717,934.67	(20,764,687.12)
Obligations	124,135,241.18	146,691,042.91	(22,555,801.73)

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the Financial Statements of the Municipality of Pamplona, Cagayan for the year-ended December 31, 2021 due to non- recognition of Depreciation Expense for Infrastructure assets, with a total carrying value of ₱110,644,068.77, contrary to Philippine Public Sector Accounting Standard 17 and Item IV of COA Circular No. 2015-008 dated November 23, 2015, thus, affecting the fair presentation of the account in the financial statements.

D. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. **Deficiencies on disbursements for COVID-19 were noted, as follows: (a) Acceptance and Inspection Reports for procurement of COVID-19 Food Supplies totaling to ₱3,612,640.00 do not contain basic information thus, it cannot be ascertained whether the delivery of goods conform to the terms and conditions of the contract, and (b) Information on emergency procurement were not posted in the GPPB online portal, contrary to transparency and full disclosure policy of GPPB.**

   We recommended that the Management:

   1. Direct all concerned officials to properly and completely accomplish relevant procurement documents, such as Acceptance and Inspection Reports.

   2. Require the BAC Secretariat to comply with the mandatory posting of procurement information for contracts awarded through Emergency Procurement under the Bayanihan Act.

   3. Submit the attendance signed by the recipients to support the expenses to the Office of the Audit Team the soonest.

2. **Eighteen (18) programs, projects, and activities (PPAs) under the 20% Development Fund (DF) totaling to ₱34,617,678.61 were not fully implemented by the Municipality as at December 31, 2021, contrary to DBM-DOF-DILG Joint Memorandum Circular (JMC) No. 2020-1 dated November 4, 2020, thus, depriving its constituents of the expected socio-economic benefits that could have been derived therefrom.**

   We recommended that the Management fast track the completion of all on-going and unimplemented projects funded under the 20% Development Fund.

We also recommended that the Municipal Planning Development Officer monitor regularly the implementation of the 20% Development Plan, including continuing appropriations, and closely coordinate with the concerned departments in the implementation of these projects, in order for the Municipality to fully achieve the desired socio-economic targets and outcomes.

E. Summary of Total Suspensions, Disallowances, and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the seven (7) audit recommendations in the CY 2020 Annual Audit Report, three (3) were implemented, three (3) were partially implemented, and one (1) was not implemented.